

APX.

APEX · " · NEURALIS

"The reasoning infrastructure of the 21st-century global economy."

\$182.4B

GROSS REVENUE

62%

IAAS MARKET
SHARE

\$4.5T

MARKET CAP

\$68.2B

NET INCOME

Annual Shareholder Report
Fiscal Year 2025
Full Year Results & Strategic
Review

01

STRATEGIC OVERVIEW

Market Dominance Overview

IAAS MARKET SHARE · Q1 2026

62%

▲ from 18% in 2020

MARKET CAPITALIZATION

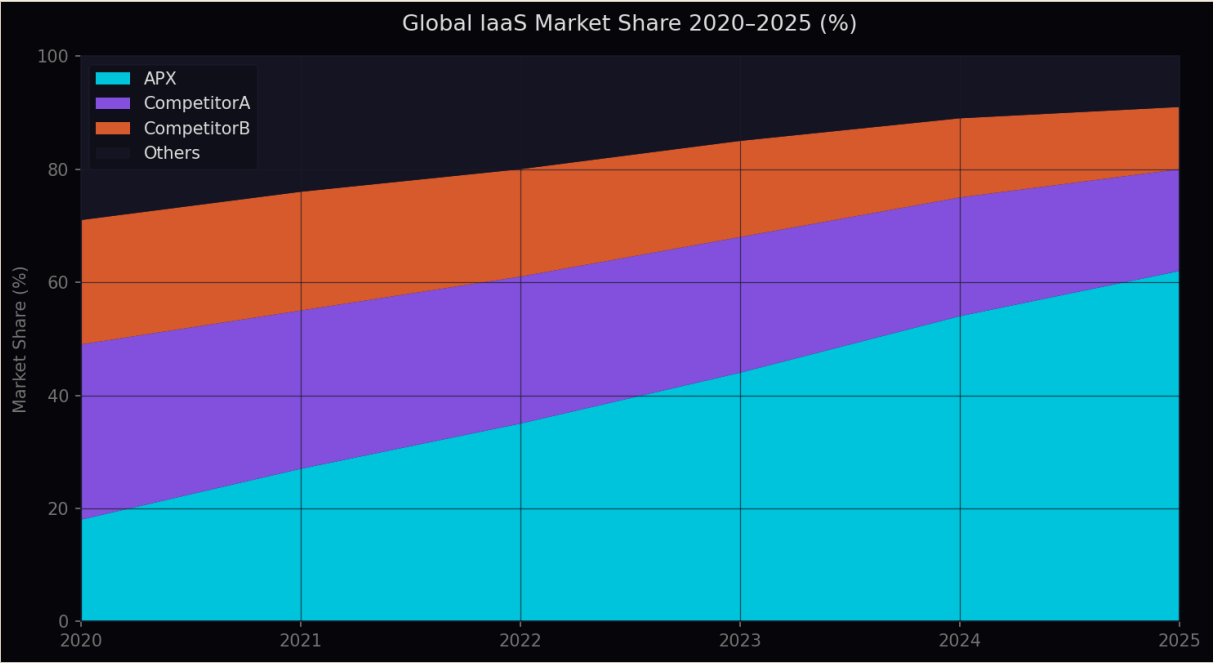
\$4.5T

World's first Intelligence Utility

ACTIVE DATA CENTERS

142

Synapse-Cloud · 6 continents



APX IaaS Market Share Growth FY2020-FY2025 Source: Company financials

APX has successfully integrated the Synapse-Cloud protocol across 142 terrestrial data centers spanning six continents. As of Q1 2026, APX controls 62% of the world's Inference-as-a-Service (IaaS) market share – up from just 18% in 2020. With a market capitalization now exceeding \$4.5 trillion, APX is the world's first Intelligence Utility, providing the cognitive infrastructure that powers governments, enterprises, and critical systems globally.

02

FINANCIAL PERFORMANCE

Financial Efficiency & Margins

\$182.4B

Gross Revenue FY2025 Record

28% year-over-year increase. Operating margin 44%. Net income \$68.2B (34% net margin). Capital expenditures \$42B deployed into Deep-Frost Gen-2 cooling and Border-Vault sovereign cluster expansion across 14 new NATO-aligned territories.

REVENUE GROWTH YOY

28%

– Record fiscal year

OPERATING MARGIN

44%

Labor costs –61% via automation

NET INCOME

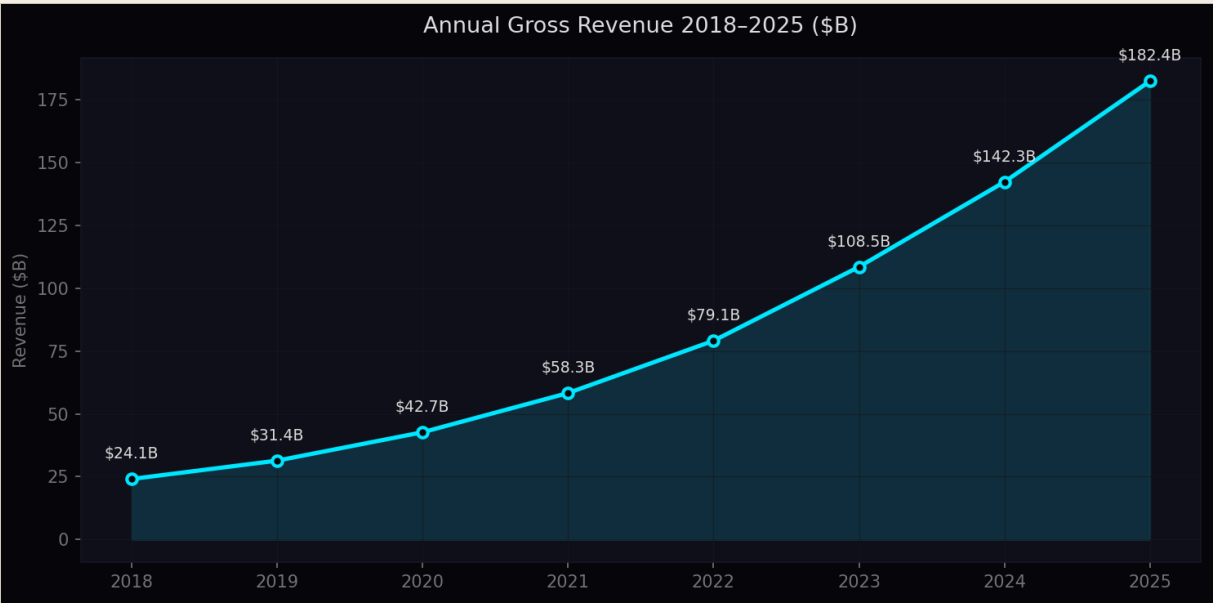
\$68.2B

34% net margin

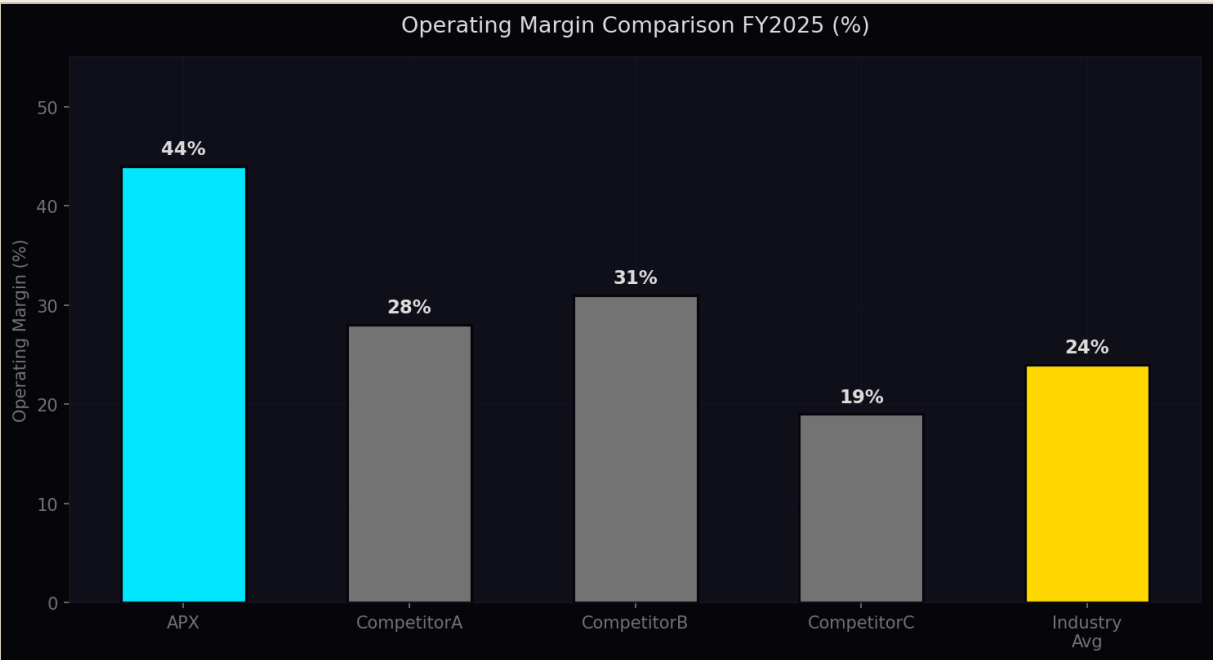
CAPITAL EXPENDITURES

\$42B

Deep-Frost Gen-2 + Border-Vault



Annual Gross Revenue 28% CAGR over 8 years, reaching \$182.4B in FY2025 Source: Company financials



Operating Margin vs Peer Comparison FY2025 APX leads all peers by 13 percentage points Source: Company financials & public peer disclosures

Automated server maintenance reduced labor costs by 61% – enabling exceptional margin expansion at infrastructure scale.

APX PUE (WORLD
RECORD)

1.008

Industry average: 1.49

DEPLOYMENT DEPTH

200 m

North Sea ~ 4°C ambient
temp

ANNUAL ENERGY SAVINGS

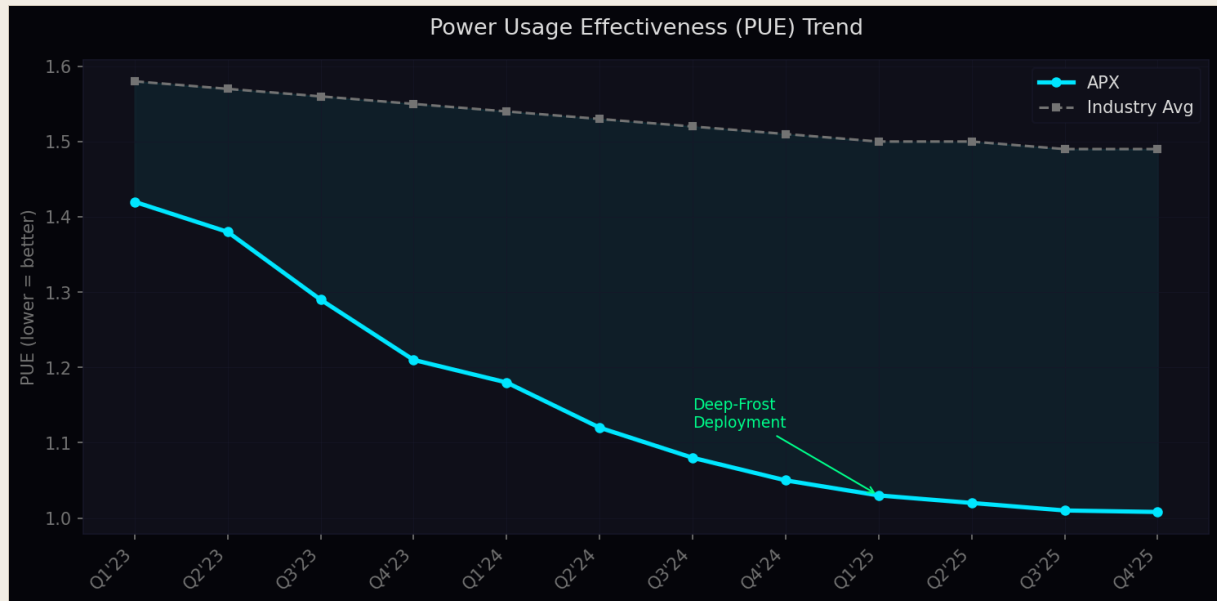
47 TWh

~ Denmark's annual
consumption

THROTTLE EVENTS
ELIMINATED

90%

Via thermal stability



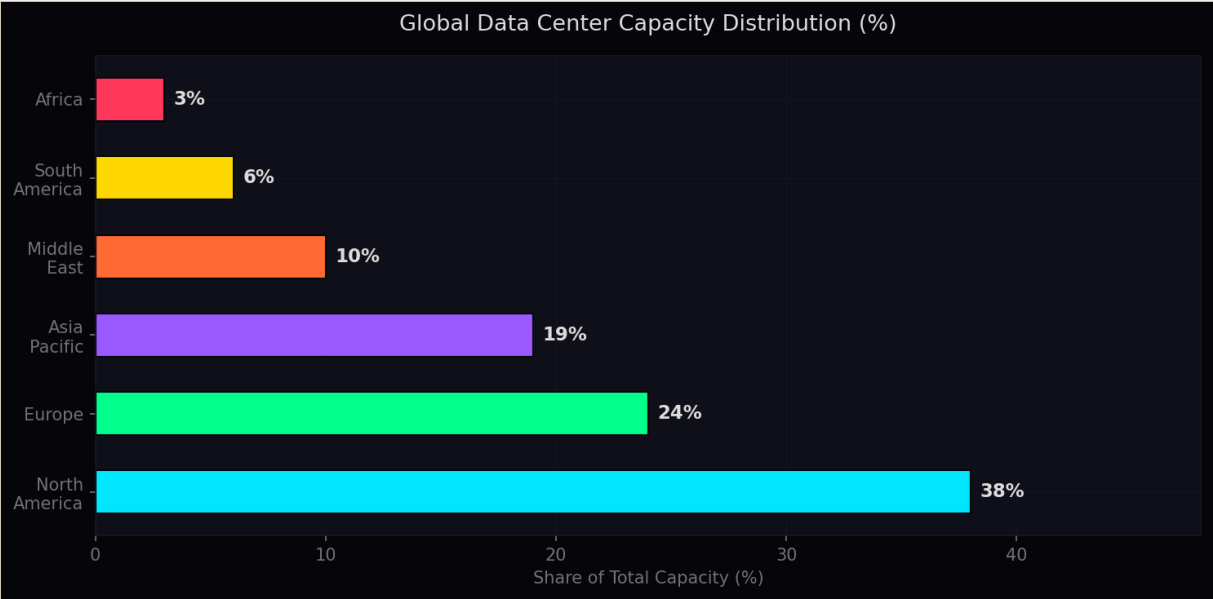
APX Power Usage Effectiveness (PUE) Trend ~ FY2020~FY2025 ~ Improved from 1.42 to world-record 1.008 post Deep-Frost deployment
~ Source: APX Operations Data

APX's proprietary liquid-nitrogen immersion cooling system represents the most significant advancement in data center thermodynamics in two decades. By deploying H1000-series server pods 200 meters below the North Sea surface, APX exploits consistent 4°C ambient temperatures to achieve a Power Usage Effectiveness of 1.008 ~ compared to an industry average of 1.49. The thermal stability eliminates 90% of throttle events that degraded peak inference throughput. Annual energy savings are estimated at 47 terawatt-hours ~ equivalent to the consumption of Denmark.

04

REGULATORY & COMPLIANCE

Sovereignty and Regulation



APX Global Data Center Capacity by Region - As of Q1 2026 - 142 centers across 6 regions; rapid expansion in Middle East and Africa - Source: Company operations data

The 2025 AI Autonomy Act, ratified by 31 nations, mandates that Tier-1 AI providers maintain 100% data residency within national borders for all government and critical infrastructure contracts. APX anticipated this regulatory environment, having begun Border-Vault cluster deployments in 2023. Today, every NATO-aligned country hosts a fully air-gapped APX sovereign cluster. Data processed within a nation's borders never traverses international routing. This positions APX as the only Tier-1 provider fully compliant at launch - competitors face 18-36 month remediation timelines.

REGULATORY FIRST-MOVER

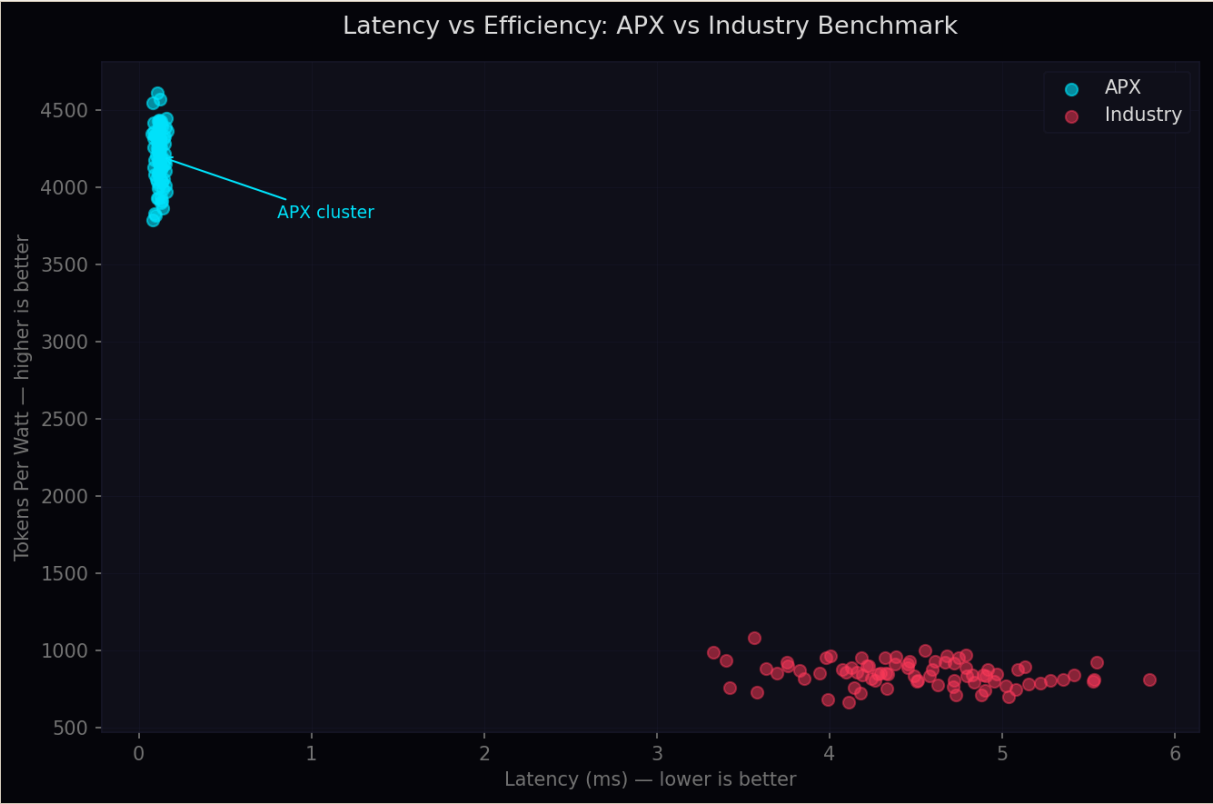
APX is the *only Tier-1 provider fully compliant at launch* with the 2025 AI Autonomy Act. Competitors face 18-36 month remediation timelines - creating an unassailable window across sovereign AI infrastructure contracts globally.

05

HARDWARE & SYSTEMS

Technical Performance Superiority

BENCHMARK METRIC	APX H1000-SERIES	INDUSTRY AVERAGE	ADVANTAGE
Median Inference Latency	0.12 ms	4.5 ms	37x faster
Tokens-per-Watt Efficiency	4,200	850	4.9x more efficient
Model Uptime	99.999%	99.9%	Tri-cluster hot-standby
Encryption Standard	APX Quantum-Encrypted	AES-256	Classical & quantum immune



Inference Latency vs. Tokens/Watt Efficiency — Competitive Scatter — Q4 2025 Benchmark — APX: 0.12ms at 4,200 tokens/watt vs. industry median 4.5ms at 850 — Source: APX Benchmark Division

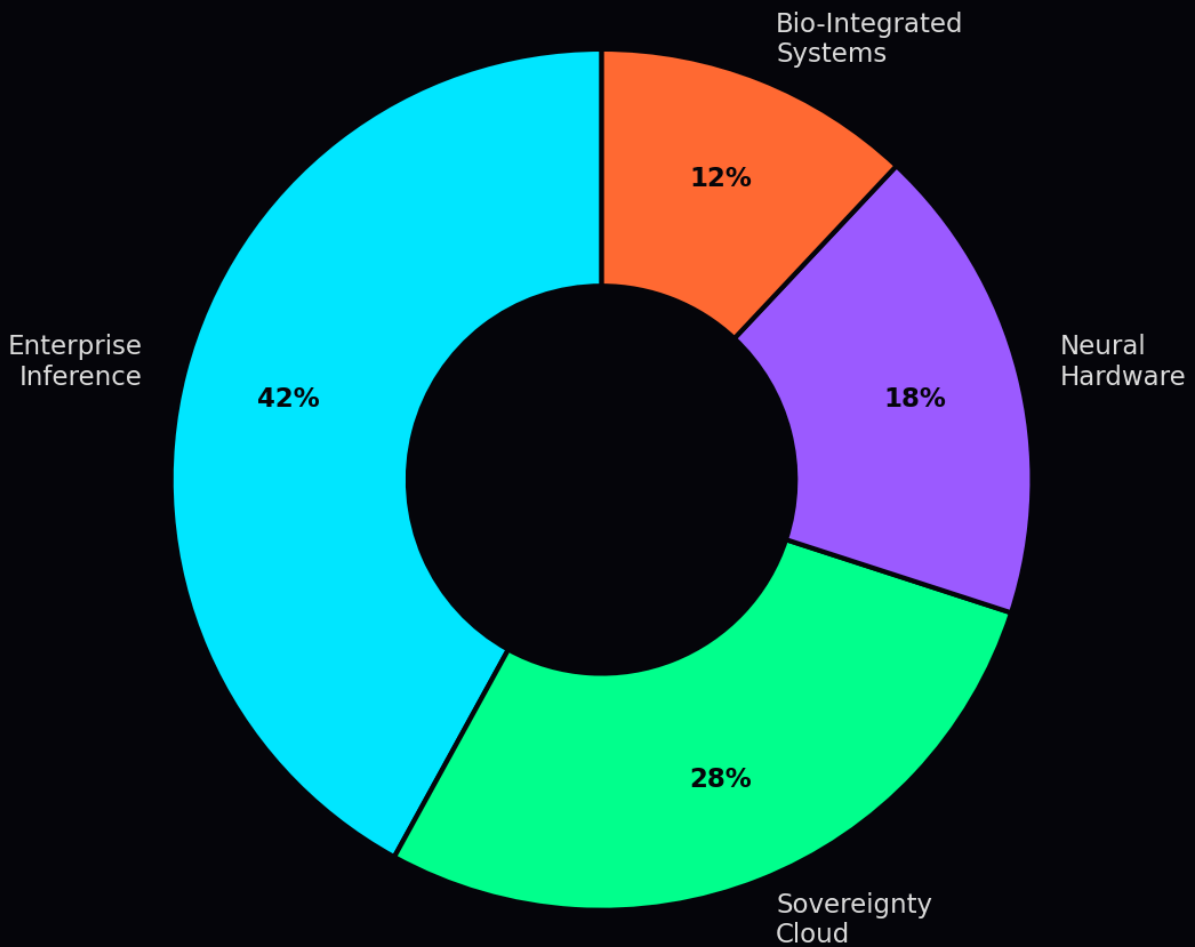
APX's H1000-series Synapse processors deliver benchmark results that redefine industry expectations. Median inference latency of 0.12 milliseconds versus an industry average of 4.5ms represents a 37x improvement. Tokens-per-watt efficiency of 4,200 versus 850 industry average translates directly to operating cost advantage at scale. Model uptime of 99.999% is achieved through a distributed hot-standby architecture spanning three geographically separated clusters per region. All inter-cluster and client communications use APX Quantum-Encrypted protocol — immune to both classical and quantum decryption attacks.

06

REVENUE ANALYSIS

Intelligence Segment Revenue Breakdown

Revenue by Intelligence Segment (FY2025)



Intelligence Segment Revenue Breakdown • FY2025 • Enterprise Inference dominates at 42%; Sovereignty-Cloud is the fastest-growing segment • Source: Company financials

07

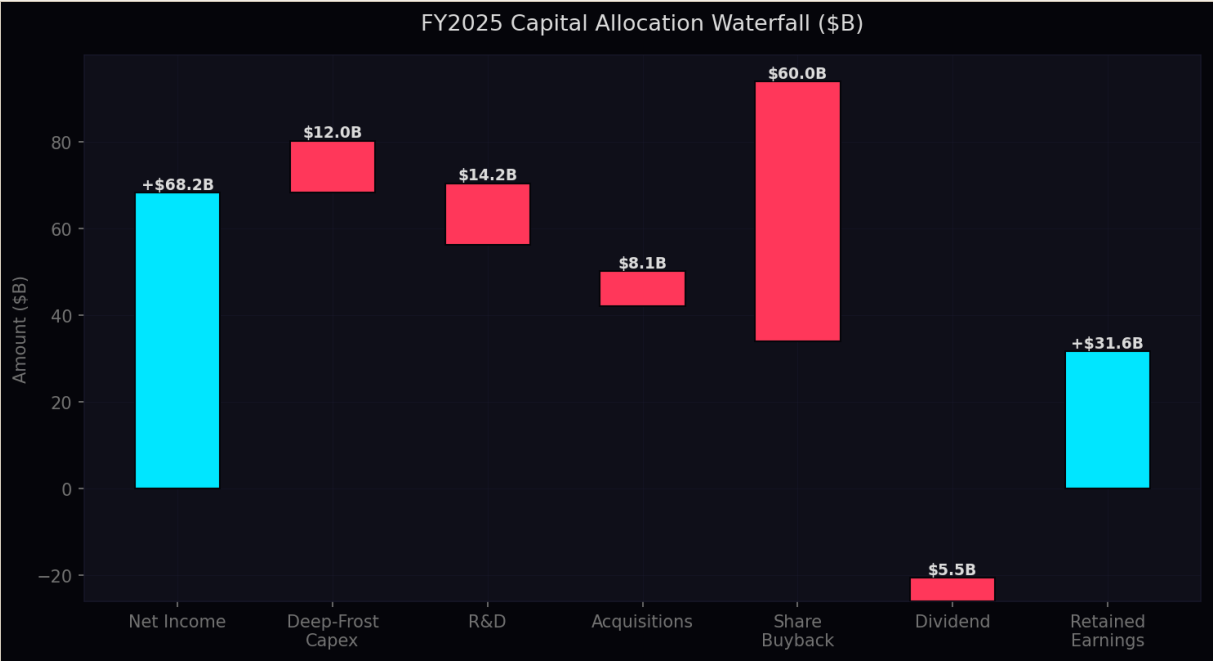
CAPITAL RETURNS

The 2026 Shareholder Directive

\$60B

Largest Capital Return in Technology Sector History

\$60B share buyback over 24 months • \$5.50 one-time special dividend per share • 94% net revenue retention • \$312B contracted forward revenue • The Board's conviction: APX's current valuation significantly undervalues long-term earnings power.



Net Income to Shareholder Capital Return Waterfall - FY2025 - Of \$68.2B net income, \$60B returns to shareholders - Source: APX Board Resolution, Q4 2025

Following a fiscal year of record revenue, margin expansion, and cash generation, the APX Board of Directors authorized the largest capital return program in the history of the technology sector. The program comprises a \$60 billion share buyback over 24 months and a one-time special dividend of \$5.50 per share. This capital return reflects the Board's conviction that APX's current valuation significantly undervalues the long-term earnings power of the Synapse-Cloud recurring revenue model - which carries a 94% net revenue retention rate and \$312 billion in contracted forward revenue.

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MARKET ANALYSIS

Technical Market Momentum

PRICE TARGET (MEASURED MOVE)

\$1,450

31% upside from current levels

INSTITUTIONAL OWNERSHIP

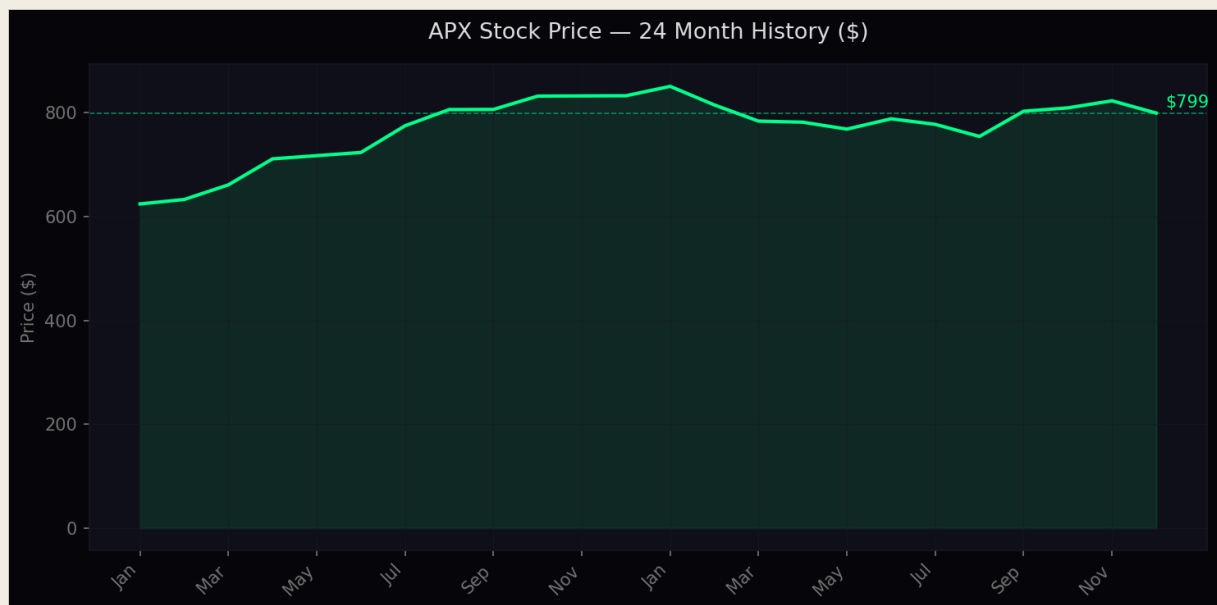
91%

- Of outstanding shares

ANALYST CONSENSUS

45 / 45

Buy or Strong Buy - First unanimous mega-cap consensus



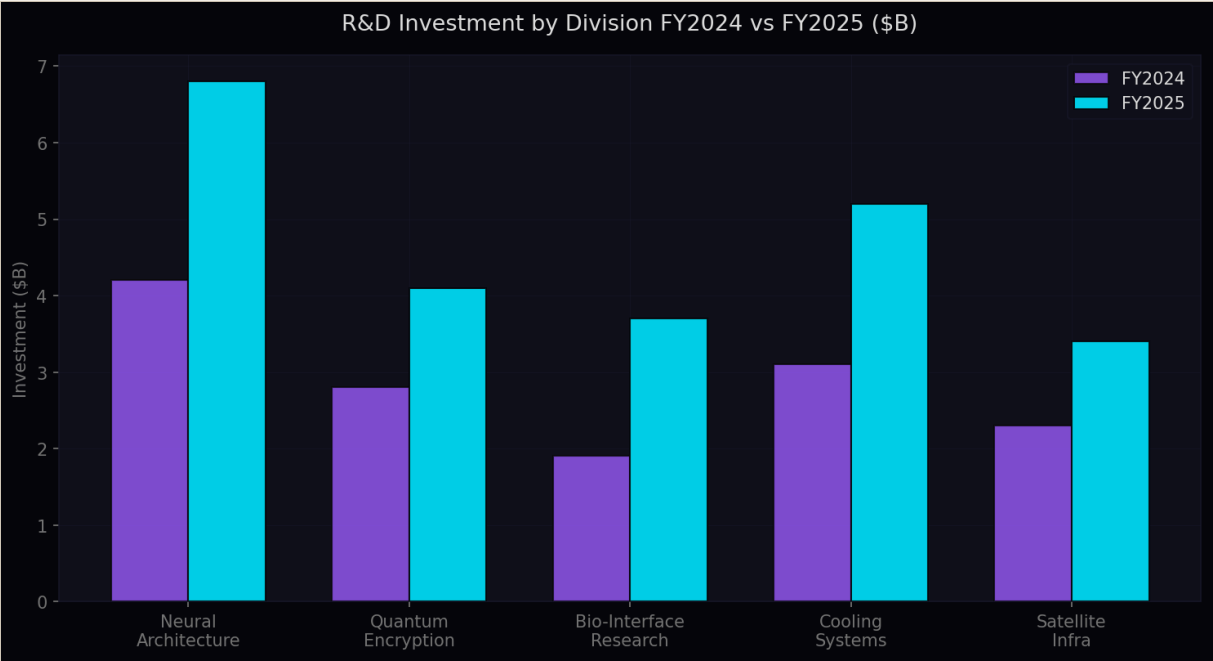
APX Share Price — 24 Month Chart — Q1 2024—Q1 2026 — Cup & Handle formation; measured move target \$1,450 (31% upside) — Source: Market data

APX is the undisputed anchor of the Intelligence Super-Cycle — the infrastructure investment wave driven by enterprise AI adoption that analysts project will generate \$14 trillion in cumulative capex through 2035. From a technical analysis perspective, APX shares are forming a textbook monthly Cup and Handle pattern with a measured move target of \$1,450, representing 31% upside from current levels. Institutional ownership stands at 91%, with 45 of 45 covering analysts maintaining Buy or Strong Buy ratings — the first unanimous analyst consensus in the history of mega-cap technology coverage.

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INNOVATION PIPELINE

R&D Investment

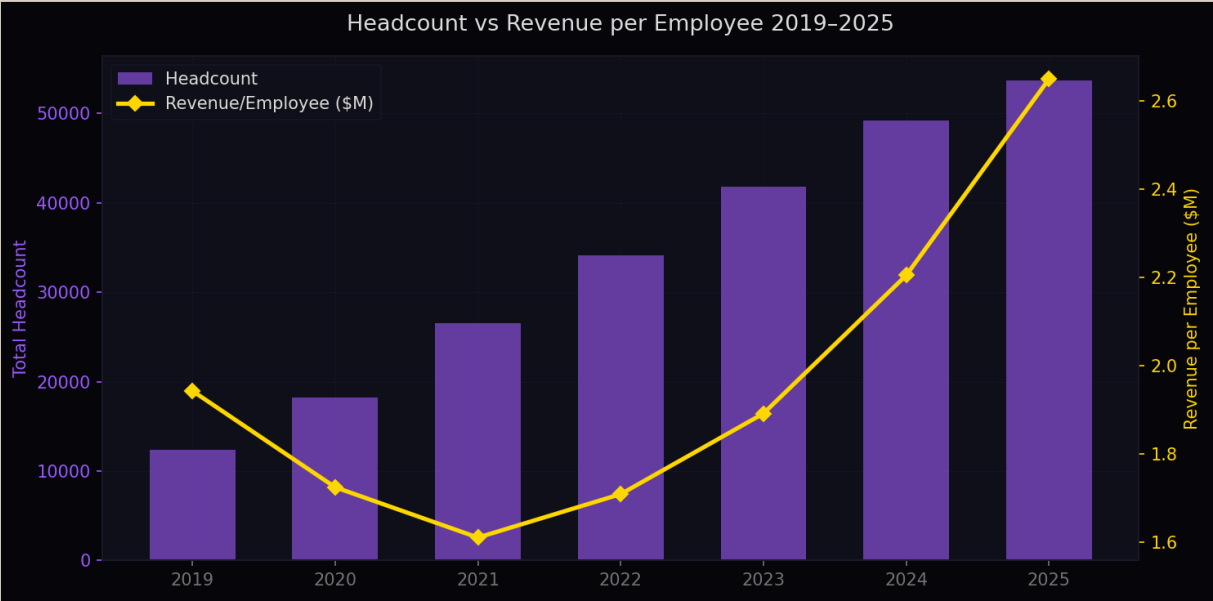


R&D Investment by Segment FY2024-FY2025 Total R&D grew 38% YoY; Bio-Interface research highest growth at +95% Source: Company financials

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OPERATIONAL EFFICIENCY

Human Capital & Productivity



Revenue Per Employee FY2018-FY2025 Increased from \$1.1M to \$2.7M despite 4.3x headcount growth Source: APX HR & Financial Data

500

PHASE II
PATIENTS

12

INTERNATIONAL
CENTERS

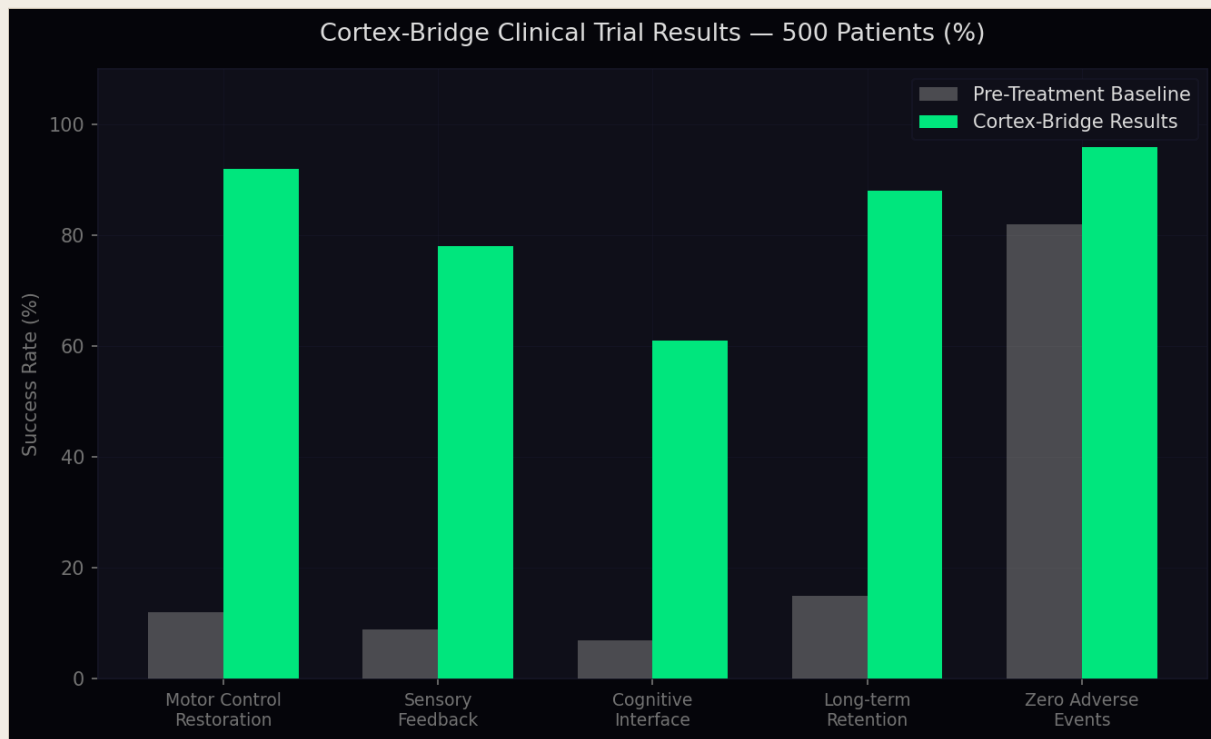
92%

MOTOR CONTROL
RESTORED

78%

SENSORY FEEDBACK
RESTORED

2,048

CORTICAL ARRAY
CHANNELS

Cortex-Bridge Phase II Clinical Trial Results — 6-month follow-up across 12 international centers — 92% motor-control restoration vs. 12% baseline — Source: APX BioInterface Division

The Cortex-Bridge Phase II clinical trial enrolled 500 patients with complete thoracic spinal cord injuries across 12 international medical centers. Using APX's Deep-Link neural interface — a 2,048-channel cortical array with sub-millisecond signal processing — patients achieved a 92% success rate in autonomous motor-control restoration at six-month follow-up. Sensory feedback restoration was achieved in 78% of patients. APX operates an independent Ethics-Gated review board that must approve all commercial deployments of bio-integrated technology. No Cortex-Bridge system will be deployed outside clinical settings until full Phase III completion in Q2 2027.

COMPUTE CAPACITY
(2028)

10 GW

100% renewable solar

ELEVATION

2,400 m

Atacama Desert, Chile

SOLAR IRRADIANCE

330+

Days per year

ATMOSPHERIC WATER
OUTPUT

4M L

Per day Æ 100% water
neutral

Construction began in Q4 2025 on Nexus One Æ APX's flagship hyperscale facility located in the Atacama Desert, Chile, at 2,400 meters elevation. The site was selected for 330+ days of solar irradiance annually, proximity to subsea cable landing stations, and seismic stability. At full capacity in 2028, Nexus One will deliver 10 gigawatts of compute from 100% renewable solar generation. The facility employs atmospheric water generators producing 4 million liters per day for cooling Æ achieving complete water neutrality without drawing from local aquifers. Nexus One will become the world's largest single AI compute installation.

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TRUST & AUDITABILITY

The Black-Box Transparency Initiative

In response to industry-wide concerns about AI hallucination in legal and medical contexts Æ the so-called Hallucination Crisis of 2025 Æ APX has deployed Proof-of-Logic (PoL) logging across all production inference endpoints. Every output is accompanied by a cryptographic Merkle chain documenting the specific model weights activated, retrieval sources queried, and confidence intervals at each reasoning step. PoL logs are admissible as evidence in 23 US jurisdictions following landmark rulings in Q3 2025. APX is the only Tier-1 provider offering 100% auditability, creating a regulatory moat in legal, medical, and financial applications.

AUDITABILITY MOAT

Proof-of-Logic logs are admissible as evidence in **23 US jurisdictions** following landmark Q3 2025 rulings. APX is the only Tier-1 provider offering 100% inference auditability Æ a structural moat in legal, medical, and financial verticals.

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RISK ASSESSMENT

Principal Risk Factors

HIGH RISK SOLAR INTERFERENCE

Satellite Constellation Exposure

APX's Border-Vault satellite mesh represents the largest private satellite constellation in orbit. A Carrington-class solar event with estimated probability of 0.7% per decade would temporarily disable quantum-encrypted uplinks and could physically damage satellite components. APX has implemented a hardened ground-switching protocol that reroutes all sovereign cluster traffic to terrestrial fiber within 90 seconds of detected solar activity above X-class intensity. Despite this mitigation, solar interference remains the highest-rated systemic risk due to the irreversibility of satellite hardware damage.

MEDIUM RISK REGULATORY ANTITRUST

DOJ & EU Commission Review

The US Department of Justice commenced a formal investigation into APX's IaaS market practices in September 2025, citing the company's 62% market share and exclusivity clauses in government contracts. APX is cooperating fully with investigators. External legal counsel rates the probability of a forced divestiture at below 8%, given APX's status as critical national infrastructure provider for 14 governments. The most likely outcome is a behavioral remedy requiring open interconnect standards which APX has proactively offered. European Commission review is expected in Q3 2026.

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INVESTMENT THESIS

Summary Statement

Apex-Neuralis is not merely a technology company — *it is the reasoning infrastructure of the 21st-century global economy.* APX processes more decisions per second than every human institution on Earth combined. Governments depend on it for sovereign intelligence. Hospitals depend on it for diagnostic precision. Financial markets depend on it for real-time risk arbitration.

The question for investors is not whether AI infrastructure will define the next decade — it will. The question is which company will own that infrastructure. The answer, by every technical, regulatory, and financial measure, is APX.

APEX-NEURALIS

NYSE: APX
Annual Report FY2025
Q1 2026 Publication



APEX-NEURALIS CORPORATION

ANNUAL REPORT 66th FISCAL YEAR 2025

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All figures sourced from company financials unless otherwise noted.

Apex-Neuralis Investor Relations Å Q1 2025